

On the sell order, I wrote, “Sell reason: This didn't go anywhere this past year but what scares the willy out of me is the negative analyst view. So I'm going to let it all go. Sell reason: Hit cloudbank base.”

On the trade, I made 51%.

- Lesson: I was late buying into the trade, both in time and price. The turn at bottoms is often V-shaped, whereas peaks are more rounded looking. Try to improve the entry.
- Lesson: If the stock nears a target within 3%, then consider selling.

The second lesson I grabbed from another chapter in this book, but it holds true for this trade, too. The stock hit my 19 target in January 2017 and missed it by 8 cents the prior November. I could have met the target and looked elsewhere for another trade (or traded this one again). Instead, I held on and watched the stock drop back to near my buy price before recovering.

Of course, this wasn't a swing trade; it was buy-and-hold. The stock continued higher, in large up-and-down swings, eventually reaching 36.70 in February 2020, but that's still below the top of the cloudbank. If I held onto the stock longer, I could have almost doubled my money in about 2 years, but that's if I sold at the top (which is doubtful).

Dead-Cat Bounce

Three of my cloudbank trades ended with a dead-cat bounce. American Equity Life (AEL) started as a nice cloudbank. I bought near the low and the stock moved up. Then news came: “Down 15% on news the US targeted annuities in Obama retirement rules. The company is the 2nd biggest seller of the products.” I happened to check in during the day, saw the news, and sold, taking a 2% loss. Four months later, it broke out upward from its sideways move and hit my target (cloudbank low) in 6 months.

- Lesson: Try to better understand the implications an event can have on a stock.

Because the stock was down 15% on the news, others voted with their sell orders, just as I did. To me, the news sounded like a company making